Harley-Davidson, Inc. (NYSE: HOG) — Short

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Rating	Price (5-Oct)	Price target	Downside	Horizon	Bear / Base / Bull	Consensus PT	Citi PT
Short	$26.95	$21.11	−21.7%	12 mo	$14.47 / $18.78 / $43.12	$28.18	$33.00

1 Investment Recommendation

Harley-Davidson, Inc. (HOG) is an iconic motorcycle manufacturer facing tariff impact, secular decline, an aging customer base, and declining market share. The brand remains empirically strong, but it has fallen out of favor with the younger generation and isn't as appealing as it once was to buyers in the market for a new motorcycle. HOG is facing significant challenges, and there is no doubt that significant changes have been underway to redefine the company's positioning. The market has noticed these challenges and punished the stock historically, with a current market cap of ∼$2.7 billion, down from $5.1 billion in December 2023.

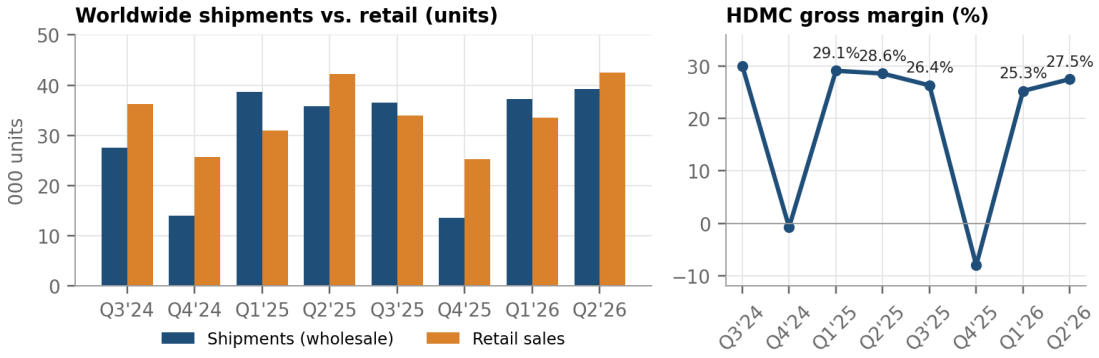
1.1 Thesis and Short Rating

When growth stalls, investors stop valuing a heritage brand on growth and start asking what the brand is still worth. The stock then tends to go one of two ways:

1. It re-rates as a **cash cow** if the brand keeps its pricing power (Ralph Lauren 2017–25, Ferrari, and Harley's own "Hardwire" plan in 2020–21).
2. It de-rates toward an asset or book value floor if pricing power erodes — the **"melting ice cube"** (VF Corp 2021–24, Aston Martin since its 2018 IPO, Harley itself in 2014–19).

On 5 October Citi upgraded HOG to Buy (PT $33), arguing that retail is recovering, dealer inventory is lean, and a 2027 product launch plus cost savings will lift earnings; the stock rose 10%. **We agree that units are recovering; we disagree that units will turn into earnings from both a historical and analytical perspective.** The recovery is coming with lower unit economics, and Harley's cost structure means a modest volume recovery leaves the motorcycle business near breakeven:

- **The channel is clean, restocking constitutes less of a hidden earnings source than anticipated:** Global dealer inventory ended Q2'26 down 17% YoY, and Q2 shipments (39.2k) were *below* retail (42.5k). But FY2026 guidance already sets shipments equal to retail (133.5–138.5k units): there is no restocking tailwind left in the numbers.
- **Margins fell while volume recovered:** Motorcycle (HDMC) gross margin was down year over year in each of the last three quarters (Q3'25 26.4% vs. 30.1%; Q1'26 25.3% vs. 29.1%; Q2'26 27.5% vs. 28.6%). Revenue per bike is flat at ∼$22k while Sport & Lightweight bikes rose to 12% of shipments (9% a year earlier) and parts & accessories fell 5%.
- **Guidance math:** HDMC earned $91M of operating income in H1'26, yet the full-year guide is $10–50M: management is guiding to an H2 *loss* of $41–81M even with retail growing.
- **The finance arm:** After the 2025 loan sales, HDFS operating income is guided to $55–65M for 2026, versus $490M in 2025 (incl. sale gains) and $64–77M *per quarter* before the sale (Q3'24–Q2'25). New CEO Artie Starrs is moving down-market with lower-priced models; Harley's 2020–21 re-rating was built on the opposite.



Source: Harley-Davidson 8-K earnings releases, Q3'24-Q2'26. Q4 margins reflect fixed-cost under-absorption on low volume.

Exhibit 1: Shipments are back in line with retail, but HDMC gross margin keeps falling year over year.

1.2 Catalysts and Conviction Drivers

Revenue and FCF have been declining significantly over the past few years, which can be attributed to inflationary pressures and interest rate hikes affecting consumers' ability to afford Harley-Davidson bikes, which are priced as a premium or luxury good — a category for which demand is more elastic than inelastic. The core conviction driver is **operating leverage**: regressing quarterly HDMC gross profit on revenue ($R^2 = 0.99$) gives a ∼47% contribution margin and ∼$207M of fixed manufacturing cost per quarter (Exhibit 2). Each 1% of retail is worth only ∼$19M of gross profit (∼$0.14 of EPS), while every 1pt of margin is worth ∼$40M — so mix and pricing, not units, decide earnings.

Timing	Event and what we expect
Early Nov 2026	Q3 results (est. 3 Nov, before the open; not yet confirmed — Q3'25 was reported 4 Nov 2025): Citi's "double-digit September" sets a high bar. Our search-data nowcast points to roughly flat North American retail (Section 6); watch gross margin and H2 HDMC guidance
Nov 2026–Mar 2027	Off-season: Florida dealers hold 2.5x the national inventory per dealer going into an El Niño winter; watch MY2026 leftovers and discounting
Early Feb 2027	Q4 results and FY2027 guidance (FY2025 results were reported 10 Feb 2026): first look at margins on the new lower-priced models and the cost of the 2027 launch
Ongoing	EU retaliatory tariffs (25%) and a weak yen (USD/JPY ∼158) giving Japanese competitors pricing room

1.3 Investment Horizon

12 months. The thesis is tested by the next two earnings reports and the spring 2027 selling season: if margins recover with volume, we cover; if HDMC stays near breakeven, the stock trades toward HDFS value plus net cash.

2 Risks

Crowding and squeeze risk. Short interest is ∼18.7M shares (∼18% of shares outstanding, ∼24% of float) with 9–11 days to cover, the share count is down ∼10% YoY from buybacks, and a sell-side upgrade has just added a positive catalyst. We monitor:

- **Cost to borrow:** 0.25% annualized and flat (Interactive Brokers, 7-Oct-2026) — general-collateral levels, so carrying the short costs little beyond the ∼3% dividend.
- **Borrow availability:** ∼1.4M shares still available to borrow at Interactive Brokers, up ∼650k on the day. Rising availability at a flat fee means borrow is not tight.
- **Short interest and days to cover:** 18.7M shares at the 14-Aug settlement, up from 16.3M in mid-June; 9–11 days to cover.

Fails-to-deliver are negligible (peak ∼306k shares around the late-June index rebalance, <0.3% of shares outstanding), so despite 18% short interest, short sellers are not struggling to deliver shares: the short is crowded but not distressed.

Other risks: (i) Citi is right and retail grows high single digits, which at a 47% contribution margin moves EPS

quickly (bull case FY27 EPS $2.66); (ii) a takeover or activist bid for the brand; (iii) price-to-book of ∼0.8x acting as a floor; (iv) a ∼3% dividend yield as a carry cost.

What would change our mind: HDMC gross margin back above 29% on rising volume; Q3 North American retail up more than 8% with stable pricing; FY2026 HDMC operating income guided above $50M.

2.1 Risk-reward Profile

Probability-weighted downside is 21.7% (19% after dividend carry) against +60% upside in the bull case (reward/risk 0.9x). Given the crowding and the fresh Citi catalyst, we prefer to express the view as a pair trade: short HOG / long Polaris (PII), which removes the consumer and rates exposure and isolates our view that Harley's unit economics are deteriorating while Polaris's channel and margins are recovering — or as a put spread around Q3 results to cap squeeze risk.

3 Industry Analysis

3.1 Key Business Drivers and Challenges

The product mix is moving away from Harley: US motorcycle retail fell 7.6% in 2025; touring fell 13% and cruisers 6%, while smaller sport and adventure bikes grew. Traditional on-highway motorcycles have lost ∼15 points of share since 2019. Touring and cruisers are Harley's core (half of the 18,355 new bikes on US dealer lots today are touring models).

The consumer is softening: The University of Michigan sentiment index is down 11% YoY (August 2026), which the Motorcycle Industry Council flags as a risk for discretionary purchases, although leading-brand new motorcycle sales were still up 1.9% through Q2 2026.

Currency: Even assuming the consumer holds up, the strong dollar alone may force Harley's hand. Japanese rivals took advantage of the weaker yen to compete on price in the mid-2010s. With USD/JPY down a further ∼3.5% over the past year, near multi-decade lows despite recent intervention, they have every ability to do so again.

Electrification: Luxury automakers that bet heavily on EVs have faced significant backlash: Porsche AG reportedly considered shelving an electric sports car line to cut costs that ballooned due to its overly ambitious EV bet. Harley's EV unit, LiveWire, faces the same economics and is guided to a $70–80M operating loss in 2026.

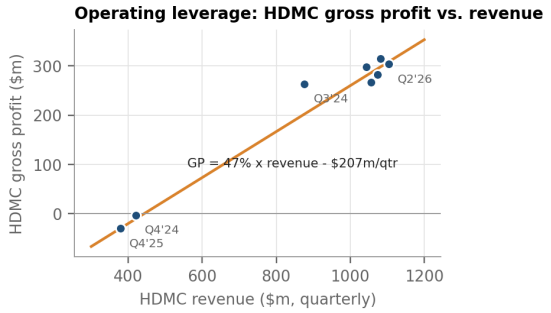
Geography and weather: Harley's largest dealer footprints are in California, Texas, Florida, Pennsylvania and Ohio. The three Sun Belt states usually carry off-season retail, but a strong El Niño winter typically brings wetter, cooler weather to the southern US. Florida's core buyer base of older riders is squeezed by soft housing (prices −1.1% YoY, ∼24% of listings cut) and rising insurance and condo costs — and Florida dealers now hold 91 new bikes each, 2.5x the national average (Exhibit 3), while Florida search interest in the brand is down ∼21% over five years. A quiet 2026 hurricane season removes weather as an excuse: weak Sun Belt retail would reflect demand.

3.2 Industry Differentiation

Harley was a "baby boomer" brand, and by the end of the last decade baby boomers ranged in age from 55 to 73. Millennial preferences, as noted in a 2019 analyst note highlighted by CNBC, pointed away from Harleys. The industry data confirm this: growth is coming from smaller, more affordable models bought by younger and female riders, segments where Royal Enfield (US search interest roughly doubled in H1'26), KTM/Bajaj and the Japanese brands are entrenched.

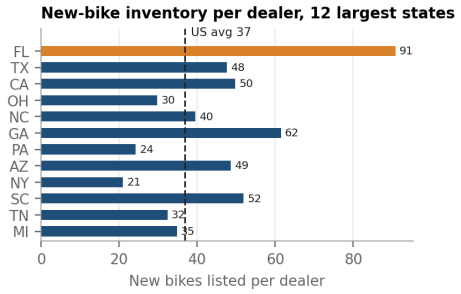
3.3 Competitive Positioning

Harley-Davidson has shown poor cash profitability relative to peers over the last two years, giving the company fewer opportunities to return capital to shareholders. Its free cash flow margin averaged 6.1%, below expectations for a consumer discretionary business. Polaris shows the contrast: dealer inventory down 8% YoY with days of supply below historical norms, gaining share for five straight quarters, and a raised revenue outlook — a cleaner recovery that makes it the natural long leg of the pair.



Fit on Q1'25-Q2'26; source: 8-K releases; model 'Inputs' tab.

Exhibit 2: Q4 losses are fixed-cost under-absorption.



Source: Harley-Davidson.com dealer-inventory API, scraped 2026-10-06; 18,355 units, 497 dealers.

Exhibit 3: Florida lots hold 2.5x the US average.

4 Valuation

The company's de-rating from a growth-driven heritage brand to a weakly positioned automaker motivates a shift in valuation methodology: from P/E on growth and PEG ratios to FCF and dividend yield, EV/EBITDA on mature margins, sum-of-the-parts (separating the finance arm), and price-to-book as a floor.

4.1 Opinion Differentiation

Consensus (Hold, PT $28.18) and Citi treat the volume recovery as an earnings recovery. The market values HOG at ∼18x forward earnings and 8.7x EBITDA — in line with Polaris and BRP, whose channels and margins are healthier — even though consensus FY2026 EPS is only $0.68 and our base case is $0.55. Our view: HDMC operating income stays below $50M through FY2027 (base $32M), so industrial free cash flow is negative after capex, and the equity is worth roughly HDFS plus net cash plus a modest option on the brand.

4.2 Valuation Methodology

Sum-of-the-parts on FY2027E, blending (50/50) an EV/EBITDA multiple on the industrial business with a DCF of its unlevered free cash flow. HDFS is valued on P/E; net cash of the non-financial entities is taken from the Q2'26 10-Q (Note 17): $1,283M cash less the $297M of 2045 senior notes.

Base case, FY2027E	Method	Multiple	Value ($M)	Per share
HDMC + LiveWire (EBITDA $139M)	EV/EBITDA	7.0x	971	$9.25
HDFS (after-tax income $50M)	P/E	9.0x	450	$4.29
LiveWire stake	Option value	–	50	$0.48
HDMC net cash ex-HDFS	10-Q Note 17	–	986	$9.39
Equity value – multiples			**2,458**	**$23.41**
Equity value – DCF (industrial EV floored at 0)*	DCF	10% / 1.5%	1,486	$14.16
Base case value (50/50 blend)				**$18.78**

*Industrial unlevered FCF is negative in FY27–29 (EBIT below capex net of D&A); WACC 10%, terminal growth 1.5%.

Peer comps (Oct-2026)	EV/EBITDA	Fwd P/E	P/B	Div. yield	Dealer inventory
Polaris (PII)	9.8x	19.1x	3.7x	5.1%	Down 8% YoY
BRP (DOO)	8.1x	16.9x	16.4x	1.2%	n/a
Harley-Davidson (HOG)	8.8x	18.8x	0.9x	2.8%	Down 17% YoY

5 Scenario Analysis

5.1 Probability-weighted Scenario Analysis

Scenario	Prob.	Key assumptions (FY2027E unless stated)	EPS	Value	vs. price
Bear	40%	Retail −3% H2'26, −5% FY27; dealers destock 4%; margin −2pt on down-market mix; HDMC op. loss $306M; 5.5x EBITDA	−$1.93	$12.43	−54%
Base	40%	Retail +4% H2'26, +1% FY27; FY26 HDMC op. income $19M (within guidance); FY27 $32M; 7.0x EBITDA	$0.80	$18.78	−30%
Bull (Citi)	20%	Retail +8% H2'26, +4% FY27; margin +1pt, flat opex (cost savings); HDMC op. income $247M; 8.0x EBITDA	$2.66	$43.12	+60%
Prob.-weighted	100%	FY2026E EPS $0.35 vs. consensus $0.68		**$21.11**	**−21.7%**

The model's sensitivity tables show FY2027 EPS ranging from −$1.25 to $2.26 across retail growth of −8% to +7% and contribution margin ±3pt; the price target stays below the $26.95 price across every probability mix tested (bear 20–60%, bull 10–30%), ranging from $17.41 to $24.81.

6 Further Research and Alternative Data

Dealer inventory (collected 6-Oct-2026): We pulled every new bike listed on Harley-Davidson.com's public dealer-inventory search: 18,355 units across 497 US dealers (∼37 per dealer, ∼2.5 months of supply at Q3'25 retail pace). Only 6% are prior-model-year (2025) bikes — confirming Citi's "clean channel" — but inventory is concentrated in Florida (91 per dealer) and in touring models (50% of units). A script re-runs the pull weekly to track leftovers and state-level build through the winter.

Search interest: Google Trends searches for "harley davidson" track North American retail growth (correlation 0.77 over six quarters, Exhibit 4). Q3'26 searches were up only 2% YoY, which maps to roughly flat Q3 retail — a testable call against Citi's double-digit September checks when Q3 is reported in early November. Searches for "harley davidson for sale" and "used harley" are up 69% and 56% YoY: a surge in used-bike activity that may indicate used supply competing with new bikes.

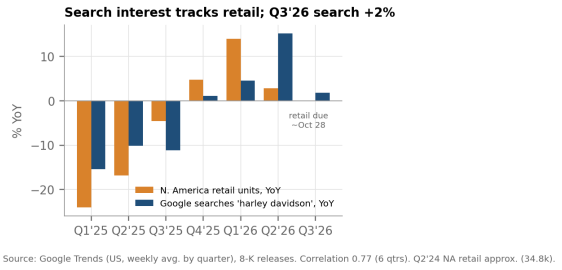


Exhibit 4: Search interest vs. retail, YoY.

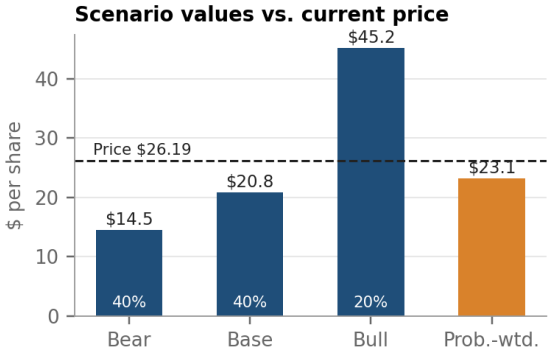


Exhibit 5: Scenario values vs. current price.

Next steps: track used-Harley listing prices (Cycle Trader) to test whether used supply is pressuring new-bike pricing; scrape advertised dealer discounts; and run an LLM over the last eight earnings calls to track management language on "pricing", "promotions" and "mix".